

by 2020) which help introduce new product launches to customers when mom-and-pop shops are reluctant to stock such new launches until they become popular with consumers. The firm also regularly invests in IT infrastructure to forecast demand, improve working capital cycles and respond to evolution in consumer preferences.

Page's approach to advertising has been unique on several fronts—high-impact advertising campaigns, significant emphasis on in-store advertising, consistent use of Caucasian models in its advertisements (which firmly entrenched its brand recall as an 'international brand') and strict pricing discipline (no discounts).

The Genomals' relationship with Jockey International, USA, is Page's biggest strategic asset. For Jockey USA, Page Industries is now its biggest franchisee. For the Genomals, India remains a large market growing in size (more consumers aspiring to buy Jockey products) and expanding in depth (new segments like leggings for women and underwear for children). Accessing Jockey's innovations in the US and bringing them to a steadily growing market like India is a formula that has worked since 1995 for Page and should continue in the foreseeable future.¹⁴

Back to the Coffee Can Portfolio: The case against churn

A critical feature of the Coffee Can Portfolio is that not only does it use the twin filters (ROCE above 15 per cent and revenue growth of 10 per cent) to identify great companies, but it also then holds these companies for ten years. In fact, during that decade the Coffee Can Portfolio does not make any changes to the portfolio. That might strike several readers to be strange to the point of irresponsible.

We believe that there are very compelling reasons to not touch investment portfolios for long periods of time. In fact, churn in a portfolio goes against the basic philosophy of long-term investing, which is a cornerstone of Robert Kirby's original Coffee Can construct. Here are four compelling factors that go against churn in a portfolio composed of great companies: